



INSURANCE AND PENSIONS COMMISSION

FUNERAL ASSURANCE REPORT

FOR THE HALF YEAR ENDED 30 JUNE 2020



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This report relates to funeral assurance business written by funeral assurers only and does not relate to funeral assurance business written by life assurers. The funeral assurance business generated by life assurers is reported in the life assurance report.

All the figures in this report are expressed in Zimbabwe dollars (ZWL\$). Figures relating to periods before February 2019 which were originally reported in United States dollars (US\$) have been converted into ZWL\$ at parity in accordance with the provisions of S.I 133 of 2019.

Growth referred to in this report is nominal growth unless stated otherwise.

***The total figures reported here exclude Doves Life Assurance and will differ from those published in prior reports where comparisons are applicable.

* Income statement figures were adjusted using year on year inflation of 737.3% reported for the month of June 2020. Source: <https://rbz.co.zw/index.php/research/markets/inflation>

**Balance sheet figures were not adjusted due to the unavailability of quarterly inflation figures. Therefore, balance sheet figures are compared on a nominal basis.

The Commission wishes to advise that Sunset Funeral Assurance did not submit their second quarter returns. Non-submission of returns is a serious governance deficiency which the Commission take seriously. In this regard, the Commission will be taking regulatory action against Sunset Funeral Assurance.

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Abbreviations

GPW	Gross Premium Written
IPEC	Insurance and Pensions Commission
MCR	Minimum Capital Requirements
PA	Prescribed Assets/Securities as defined by the Insurance Act [Chapter 24:07]

1. Executive Summary

For the six months under review, the number of registered and operating funeral assurers writing strictly funeral business stood at eight (8). However, given that one of the players; Sunset Funeral Assurance company, did not submit its returns, this report will focus on the seven players who submitted their returns. Inflation-adjusted GPW decreased by 45.63% from ZWL\$12.393 million for the six months ended 30 June 2019 to ZWL\$6.738 million as at 30 June 2020. The effects of inflation were evident on the significant decrease in inflation adjusted premium income as compared to absolute figures reported.

It was observed that all funeral assurers did not have any reinsurance arrangement(s) in place. Profit before tax decreased by 80.34% in real terms from ZWL\$3.603 million for the six months ended 30 June 2019 to ZWL\$708,430 for the comparative period in 2020. Funeral assurers' total assets increased by 26.42% in absolute terms from ZWL\$562.87 million as at 31 March 2020 to ZWL\$711.59 million as at 30 June 2020. In nominal terms, investments in prescribed assets decreased by 26.04% from ZWL\$204, 490 as at 31 March 2020 to ZWL\$151, 240 as at 30 June 2020. One (1) out of the seven funeral assurers reported capital position above the regulatory minimum requirement of ZWL\$62.50 million which is prescribed in Statutory Instrument 59 of 2020.

Total technical liabilities for the funeral assurance sector significantly increased by 689.91% from ZWL\$28.57 million as at 31 March 2020 to ZWL\$225.676 million as at 30 June 2020. The significant increase in technical liabilities is attributable to the adoption of actuarial recommendations by funeral assurers. The adoption of the actuarial recommendations was in response to the Commission's recommendations for funeral assurers to engage their actuaries in quantifying their actuarial liabilities to reflect their risk exposure.

The number of policies written by the dedicated funeral assurers decreased by 41.44% from 236,648 policies for the six months ended 30 June 2019 to 138,580 policies for the six months ended 30 June 2020. This decrease was attributable to dwindling disposable incomes because of the prevailing harsh economic environment, which resulted in the number of lapsed funeral policies increasing during the period under review.

The expense ratio for the industry increased from 61.95% during the period ended 30 June 2019 to 67.76% for the comparative period in 2020. The increase in the expense ratio indicates that more financial resources were deployed towards expenses as compared to 2019. In line with the increase in expense ratio, the real profit before tax declined from ZWL\$3.6 million in 2019 to ZWL\$0.708 million during the comparative period in 2020.

The decline in profitability by the sector is in tandem with the decline in the number of policies written by the sector from 236,648 for the first six months in 2019 to 138, 580 during the comparative period in 2020. The decline in the performance of the sector was also evidenced by the non-proportional increase in liabilities as compared to the increase in assets. Liabilities for the sector increased by 499.13%

during the first six months in 2020 whilst 26.42% increase in assets over the same period as compared to 2019.

Compliance with prescribed assets declined from 0.04% as at 30 June 2019 to 0.02% as at 30 June 2020. Appendix 1, 2 and 3 show performance indicators, income statement and statement of financial position for each respective funeral assurer.



SECTION A

2. Introduction

The Insurance and Pensions Commission (IPEC) is a statutory body mandated with regulating, supervising and developing the insurance and pensions industry for the protection of policyholder and pension scheme members in Zimbabwe. This report outlines funeral assurance sector developments and IPEC's various activities in the funeral assurance sector consistent with its statutory mandate during the half year ended 30 June 2020.

3. Terms of Reference

The activities of the Commission are guided by the following Acts and their Regulations:

- Insurance and pensions Commission Act [Chapter 24:21];
- Pension and Provident Funds Act [Chapter 24:09];
- Insurance Act [Chapter 24:07];
- Money Laundering and Proceeds of Crime Act [Chapter 09:24];
- Finance Act [Chapter 23:04];
- Public Entities and Corporate Governance Act [Chapter 10:31];
- Public Finance Management Act [Chapter 22:19]; and
- Public Procurement and Disposal of Public Assets Act [Chapter 22:23]

The background of the slide is a dark, blue-tinted photograph. It shows a close-up of a person's hand using a calculator, with several sheets of paper containing financial charts and graphs spread out on a desk. The charts include bar graphs and pie charts. The overall scene suggests a professional or academic setting focused on economics or finance.

SECTION B

4. Economic Developments

4.1. World and Regional Economic Outlook

The COVID-19 pandemic has continued to worsen the world economy outlook for 2020. The global economy which was initially projected to decline by 3.9% in 2020 (as a result of COVID-19) is now projected to decline by 4.9%. Advanced economies will experience a deep recession with a projected contraction of 8% in 2020.

Sub-Saharan Africa faces a triple shock - health shock from COVID-19, macroeconomic shock due to COVID-19 induced restrictions and food security shock due to supply chain disruptions and droughts. The World Bank projects that economic growth in Sub-Saharan Africa will decline to negative 5.1% in 2020 from a growth of 2.4% in 2019, marking the region's first recession in 25 years.

4.2. Domestic Economic Outlook

Treasury projects Zimbabwe's economy to contract by 4.5% in 2020 from an initial growth projection of 3% (Mid-term Fiscal Policy Statement). The projected negative growth is on account of climatic shocks in the form of the 2019/20 drought and cyclone Idai, energy challenges, currency volatility and the impact of COVID-19 pandemic.

The International Monetary Fund, however, projects that Zimbabwe's economy will experience a deeper decline of 7.4% (IMF 2020) compared to Treasury's projection of 4.5%. The economy will experience a severe contraction in tourism, which earns around US\$1 billion annually, because of extensive travel restrictions. The country is however anticipated to

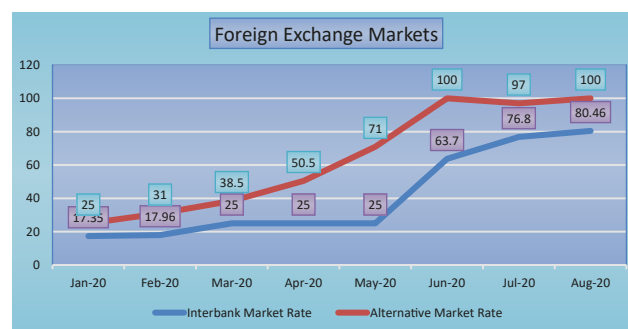
rebound in 2021 to a marginal growth of 2.5%.

The Finance, Banking and Insurance services sector is projected to contract by 7.1% from the initial estimated growth of 1.2%. COVID-19 has negatively impacted premiums and contributions for the Insurance and Pensions industry.

4.3. Currency Reforms and Exchange Rate Developments

ZWL\$/US\$ exchange rate was 1:16.08 on 2 January 2020 and remained at 25 from March until June when the Foreign Currency Auction System was introduced which saw the exchange rate moving to 1:63.7. The alternative exchange market traded at a premium to the interbank market. However, the rates have been showing signs of convergence and low volatility since the adoption of the Foreign Auction System.

The table below shows exchange rate developments from January to August 2020.

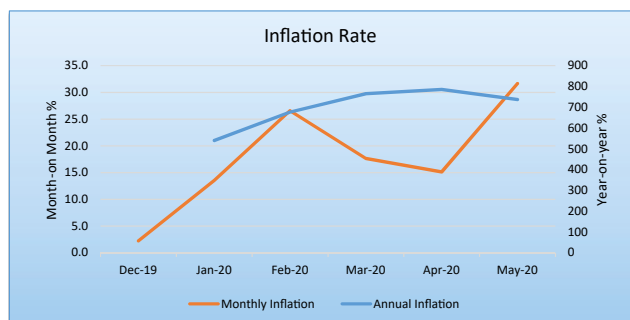


Source: RBZ, Market Watch

4.4. Inflation Developments

During the quarter under review, inflation remained on an upward trajectory spiking from 176% in June 2019 to 737.3% in June 2020. Month-on-month inflation averaged 17.08 % for the first half of 2020.

The figure below shows inflation developments for the first half of the year:



Whilst the inflation rate remained high during the first half of 2020, the Central Bank forecasts that the annual inflation will gradually fall to about 249% by December 2020, following foreign exchange market stability ushered in by the introduction of the foreign exchange Dutch auction system on 23 June 2020.

Such developments will positively influence developments in the insurance and pensions industry after the second episode of loss of value following hyperinflation that characterised currency reforms.

4.5. Trends in the Real Estate Market

The insurance and pensions industry particularly pension funds and life companies whose major investments are in the form of property continue to face challenges from low occupancy. Rental income continues to lag behind inflation rate. The industry, however, got a reprieve following the gazetting of Statutory Instrument 85 of 2020 which facilitated dual pricing and enabled consumers with free funds to pay for goods and services using United States dollars as a measure to stabilise financial markets in response to COVID-19 lockdown.

Accordingly, some property owners now prefer holders of free funds as

tenants. However, this trend may further result in low occupancy ratios as most tenants' earnings are in local currency.

Furthermore, the Government, through Statutory Instrument 96 of 2020 provided a reprieve to tenants to accumulate rental arrears by making payment plans with their landlords to alleviate the negative effects of COVID-19 on economic activity for a period of three months.

Although the promulgation of the Statutory Instrument had negative effects on insurance and pensions industry property holders, its expiration brought some relief to the sector.

4.6. Trends on the ZSE

During the first half of 2020, the equities market was dominated by strong bullish sentiments, registering a 681.6% growth in market capitalisation from ZWL\$29.231 billion at the beginning of the year to ZWL\$228.87 billion by 26 June 2020.

The necessary but painful suspension of trading on the Zimbabwe Stock Exchange coupled with suspension of mobile money based payment platforms on 26 June 2020 which were meant to pave way for investigations into the abuse of mobile money payment platforms brought some uncertainties in the insurance and pensions industry.

Trading however, resumed on 3 August 2020, albeit with all indices trending southwards with thin volumes. The three dually listed shares, namely Old Mutual, PPC and Seed Co International, however, remained suspended from trading. It

is anticipated that these will be listed on the forex-based Victoria Falls Securities Exchange (VFEX).

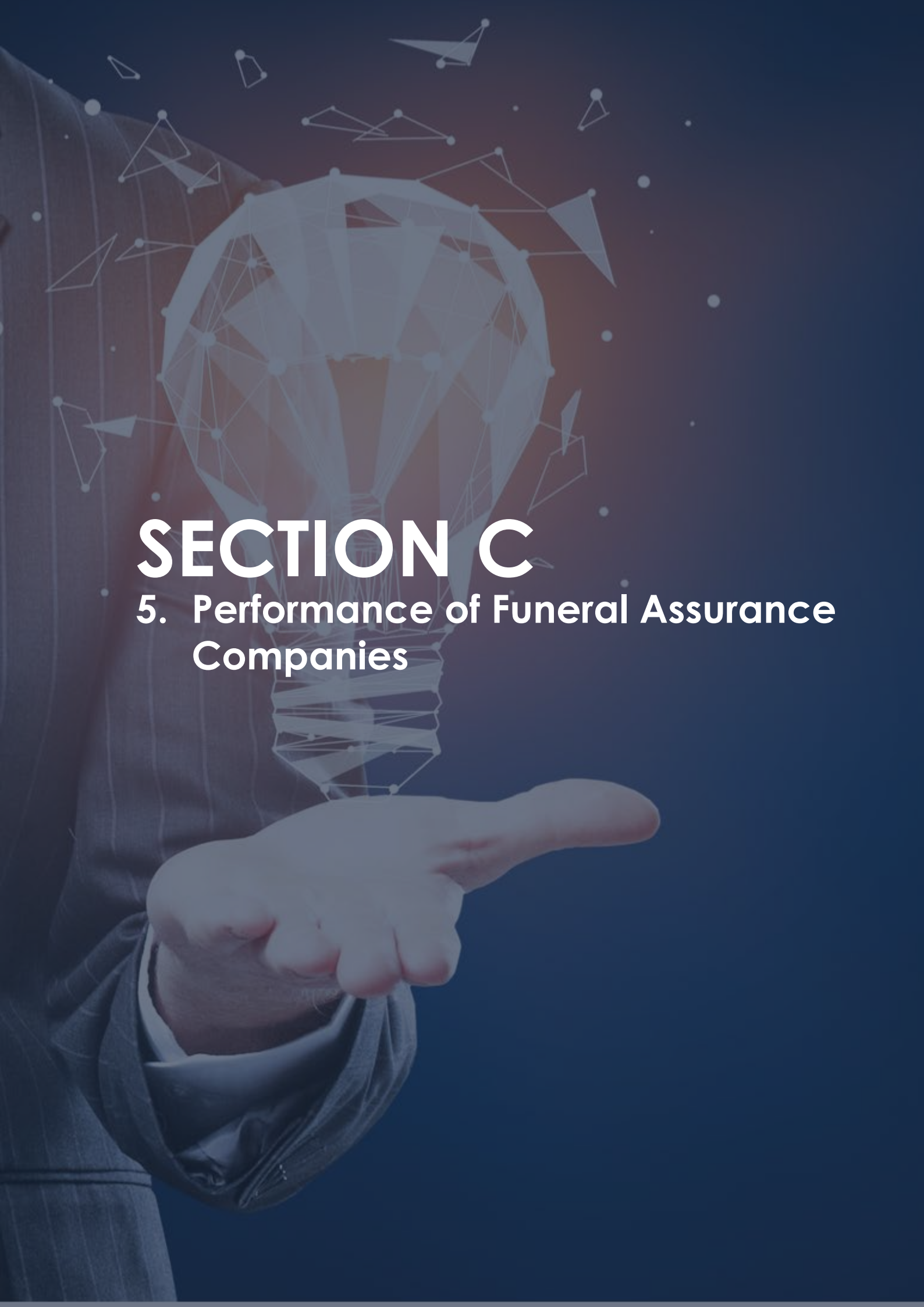
The suspension of the three shares is likely to affect the liquidity of insurance companies and pension funds as they are heavily invested on the stock exchange in a bid to hedge against inflation.

4.7. Victoria Falls Exchange Market

Government has already announced the launch of VFEX in order to attract critical offshore capital into the economy in order to buttress local resources. This development will go a long way in preserving the insurance and pension industry assets as well as in aiding asset and liability matching, given that the industry has USD denominated liabilities.

4.8. Trends in the Money Market

Nominal monthly deposit rates for money market investments varied from 3.55% to 14.99 % against real negative returns of up to 86.66% and annual inflation rate of 737.30% as at 30 June 2020. With such negative real returns, money market instruments became unattractive to the industry. However, with the need to meet immediate obligations, losses from investing in money market instruments are inevitable for the industry.

A hand in a dark pinstriped suit jacket points towards the center of the frame. In the background, a large, semi-transparent wireframe globe is visible, composed of interconnected lines and dots. Various geometric shapes, including triangles and polygons, are scattered around the globe, some appearing to float in the air. The overall background is a dark, solid blue.

SECTION C

5. Performance of Funeral Assurance Companies

5.1. Performance in-terms of Business Written

Inflation adjusted GPW decreased by 45.63% from ZWL\$12.393 million for the six months ended 30 June 2019 to ZWL\$6.738 million for the six months ended 30 June 2020. The effects of inflation were evident on the significant decrease in premiums in real terms as compared to absolute figures reported. The Commission urges funeral assurers to be innovative and come up with strategies that can withstand increased competition from life assurers. The sector's lack of innovation is evidenced by the dwindling overall market share of funeral business being written by the dedicated funeral assurers.

Funeral assurers managed to write 10.35% of the ZWL\$546.45 million total funeral business recorded in both the funeral sector and the life assurance sector. A detailed breakdown of GPW per funeral assurers in terms of recurring and new business is shown in Appendix 4. A summary of the GPW per company is shown in Table 2 below.

Table 2: Gross Premium Written Per Company (ZWL\$ 000)

	Name of Company	June-20 Inflation Adjusted	Jun-20	Jun-19	Change - Inflation Adjusted	Change (%)
1.	First Funeral	1384.20	11,589.89	2,830.27	-51.09%	309.50%
2.	Foundation	294.65	2,467.11	539.88	-45.42%	356.98%
3.	Moonlight	4030.02	33,743.39	7,334.86	-45.06%	360.04%
4.	Orchid	11.26	94.32	23.94	-52.95%	293.94%
5.	Passion	454.28	3,803.67	673.76	-32.58%	464.54%
6.	Ruvimbo	170.47	1,427.33	267.42	-36.25%	433.75%
7.	***Sunset	0.00	0.00	0.00	0.00	0.00
8.	Vineyard	393.78	3,297.13	723.34	-45.56%	355.82%
	Total	6,738.66	56,422.84	12,393.47	-45.63%	355.26%

5.2. Capitalisation

One (1) out of the seven funeral assurers was compliant with the regulatory minimum capital requirement of ZWL\$62.50 million as

prescribed in Statutory Instrument 59 of 2020. The failure to comply with the minimum capital requirements by the majority of funeral assurers emanated from an increase in technical liabilities in line with actuarial recommendations to adjust for future policyholders' benefits in-line with product specifications, and the need to meet policyholders' reasonable expectations. In addition, funeral assurers did not have significant investments in equities which would have been appropriate asset class that could have also hedged against inflation.

The non-compliant entities have submitted capitalisation roadmaps, which are at different stages of implementation. The capital positions for funeral assurers ranged from ZWL\$3.42 million to ZWL\$75.97 million as at 30 June 2020, as shown in Table 3 below.

Table 3: Capitalisation Trend Levels

	Jun-20 (ZWL\$000)	Mar-20 (ZWL\$000)	Dec-19 (ZWL\$000)	Sep-19 (ZWL\$000)	Jun-19 (ZWL\$000)
Doves	Now life assurer	Now life assurer	Now life assurer	Now life assurer	46,829.68
First Funeral	51,157.52	19,294.66	9,211.00	9,057.65	9,110.73
Foundation	75,978.70	58,132.99	58,262.00	3,013.21	3,005.07
Moonlight	27,993.59	275,392.69	139,017.00	141,366.99	55,469.26
Orchid	5,984.12	9,649.26	754	704.05	711.28
Passion	3,687.27	2,539.83	1,118.00	792.39	511.22
Ruvimbo	38,688.05	14,042.57	3,451.00	3,383.21	2,445.85
***Sunset	Did not Submit	96,052.76	10,006.00	9,564.29	1,677.95
Vineyard	57,716.10	30,065.73	15,454.00	2,538.40	2,510.10
Total	261,655.34	505,170.49	237,273.00	170,420.20	122,271.14

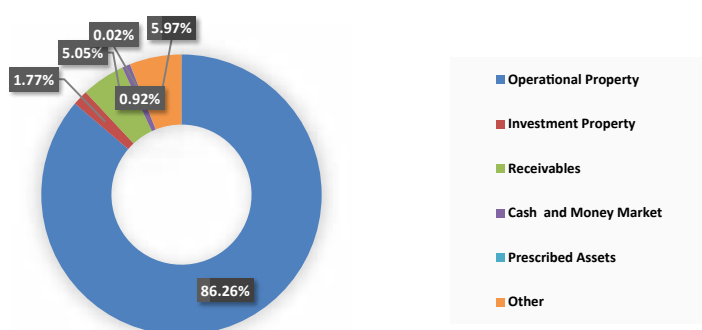
5.3. Asset Quality

In absolute terms, funeral assurers' total assets increased by 30.20% from ZWL\$465.150 million as at 31 March 2020 to ZWL\$605.620 million as at 30 June 2020. The positive movement in assets was mainly attributable to an increase in accounts receivables, which more than doubled for the comparable period.

Property portfolio constituted ZWL\$532.690million of the ZWL\$605.131million. This translated to 88.26% of total assets held by funeral assurers. Funeral assurers are expected to have unencumbered ownership of these properties. This is due to the, said properties being used in the calculation of assessing the level of capital available.

Prescribed asset investments continue to be relatively insignificant as they accounted for only 0.03% of the total asset portfolio. The distribution of assets for the funeral assurance sector is as shown in Figure 2 below.

Figure 2: Breakdown of Assets



As at 30 June 2020, all funeral assurers were not complaint with the minimum prescribed asset ratio of 10.00% as stipulated by Statutory Instrument 206 of 2019. The Commission directed all funeral assurers to submit compliance roadmaps whose implementation the Commission is monitoring. In nominal terms, investments in prescribed assets decreased by 26.04% from ZWL\$204, 490 as at 31 March 2020 to ZWL\$150, 940 as at 30 June 2020.

The Commission will continuously lobby the Government of Zimbabwe for the development and introduction of index linked prescribed asset instruments for the preservation of investor and policyholder funds. In the interim, funeral assurers are expected

to comply with prescribed assets investments, especially where benefits are of a fixed term nature. In addition, prescribed assets also assist in managing the liquidity position of funeral assurers, given that most of the investments are of a short-term nature.

Table 4 below shows the compliance levels with prescribed assets for each funeral assurer.

Table 4: Prescribed Assets for the Funeral Assurance Sector as at 30 June 2020

PRESCRIBED ASSETS INVESTMENTS AS AT 30 JUNE 2020 (000)					
Company	Prescribed asset Investments	Total assets	PA ratio	Amount required to be compliant	Variance in compliance
Orchid	-	12, 991.48	0.00%	1, 299.15	10.00%
First Funeral	11.97	57, 438.81	0.02%	5, 743.88	9.98%
Foundation	11.13	80, 598.62	0.01%	8, 059.86	9.99%
Moonlight	9.53	326, 383.33	0.00%	32, 638.33	10.00%
Passion	37.63	5, 484.50	0.69%	548.45	9.31%
Ruvimbo	13.24	61, 390.47	0.02%	6, 139.05	9.98%
***Sunset	0.00	0.00	0.00	0.00	0.00
Vineyard	67.44	61, 332.83	0.11%	6, 133.28	9.89%
Total	150.94	575, 994.40	0.03%	60, 562.00	9.97%

Table 5 below shows the key financial highlights for the funeral assurance sector as at 30 June 2020.

Table 5: Key Performance Indicators

Key Financial Indicators	Funeral Assurers				
	Jun-20 Inflation Adjusted	Jun-2020	Jun-2019	Change - Inflation Adjusted	Change
Funeral assurers GPW (ZWL\$ 000)	6.738	56,422	12,393	-45.63%	
Net Written Premium (ZWL\$ 000)	6.738	56,422	12,393	-45.63%	355.26%
Total Gross Claims (ZWL\$ 000)	2.002	16,767	4,073	-50.84%	311.66%
Operating Expenses including Administration and Management (ZWL\$ 000)	4,087	34,222	6,738	-39.35%	407.85%
Commissions (ZWL\$ 000)	491	4,113	1,006	-51.21%	308.55%
Total Costs (ZWL\$ 000)	6,581	55,103	11,818	-44.32%	366.24%
Profit Before Interest and Tax (ZWL\$ 000)	708.43	5,931.64	3,603.00	-80.34%	64.63%
Ratio Analysis	Jun-2020 Inflation Adjusted	Jun-2020	Jun-2019	Change - Inflation Adjusted	Change -
Expense Ratio	67.76%	67.76%	61.95%	581 basis points	581 basis points
Claims Ratio	29.64%	29.64%	32.58%	-294 basis points	-294 basis points
Combined Ratio	97.40%	97.40%	94.52%	288 basis points	288 basis points
Industry Overview					
	Jun-2020	Jun-2019	Change		
Total Number of Policies (000)	138	238	-41.81%		
Total Sum Assured (ZWL\$ 000)	2, 736,806	171, 597	1494.90%		
	Jun-20	Mar-20	Change		
Total Assets (ZWL\$ 000)	711, 586	562, 871	26.42%		
Total Liabilities (ZWL\$ 000)	345, 704	57, 701	499.13%		
Capital - Net Assets (ZWL\$ 000)	365, 881	505, 170	-27.57%		
Prescribed Assets (ZWL\$ 000)	153	204	-25.12%		
Prescribed Asset Ratio	0.02%	0.04%	-0.01%		

5.4. Reassurance

All funeral assurers did not have any reinsurance arrangement(s) in place for the six months ended 30 June 2020. The Commission continues to urge funeral assurers to have reinsurance arrangements. This risk management tool is important in improving capacity levels in the sector especially where issues of under capitalisation emanating from the deteriorating capital positions and the need to manage risks such as mortality, investment and operational risks are concerned.

Reassurance also increases the amount of capital available as it would allow funeral assurers to write more funeral business and be able to withstand increased pressure from the life assurance business. Reinsurance arrangements will also assist funeral assurers to comply with Minimum Capital Requirements through issuance of guarantees by re-assurers in line with the provisions of Statutory Instrument 95 of 2017.

5.5. Actuarial Matters

Total technical liabilities for the funeral assurance sector significantly increased by 688.15% from ZWL\$28.57million as at 31 March 2020 to ZWL\$225.071million as at 30 June 2020. Future policyholder benefits continue to be the major component of technical liabilities accounting for 99.83%, whilst unearned premium reserve, gross outstanding claims and incurred but not reported, accounted for an insignificant 0.16%.

The increase in technical liabilities was attributable to the adoption of actuarial recommendations in the funeral assurers' balance sheets. This jump also follows discussions between the funeral assurers and actuaries where they

(actuaries) calculated technical liabilities that were reflective of the product specifications and the need to meet policyholder reasonable expectations. Funeral assurers are continuously encouraged to determine reserves that are reflective of the various risks that they are exposed to.

5.6. Earnings

Six (6) funeral assurers reported profit before interest and tax, whilst one funeral assurer reported a loss during the period under review. However, the profit before tax decreased by 80.26% in real terms from ZWL\$3.603 million for the six months ended 30 June 2019 to ZWL\$711, 360 for the six months ended 30 June 2020. The decrease in real profit before interest and tax was partly attributable to the decrease in real GPW whilst operating expenses and administration did not decrease at the same rate. The decrease also followed the 41.41% decrease in the number of policies written from 236,648 for the six months ended 30 June 2019 to 138,580 for the six months ended 30 June 2020.

The expense ratio for the six months ended 30 June 2020 was 67.61%, implying that for every dollar of premium received, approximately sixty-eight cents was spent on management and operational expenses. The ratio continues to be very high and unsustainable in the medium to long-term. Funeral assurers are, therefore, encouraged to align their expenses to sustainable and manageable levels. A summary of the claims incurred, operating expenses, total costs for each funeral assurer for the six months ended 30 June 2020, is shown in Appendix A5.

5.7. Liquidity

The funeral assurance sector reported an average current ratio of 225.59%. This suggests that funeral assurers had enough current assets to meet current liabilities. However, the composition of the current assets is skewed towards premium debtors at 71.55%, which does not support the liquidation of current liabilities for the sector. In this regard, funeral assurers are called upon to align their current asset holdings by adopting prudent and innovative underwriting methodologies that reduce premium debtors.

Given the high risk of premium default by policyholders under the current unstable macroeconomic environment, funeral assurers are urged to align their investment portfolios to their respective risk profiles. Furthermore, funeral assurers should ensure that they adopt prudent credit risk management practices and ensure that they honour their obligations to avoid reputational risk. Funeral assurers are thus expected to invest in appropriate short – term assets that are liquid, which would allow them to meet short-term obligations from both an operational and policyholder's perspective.

5.8. Market Share

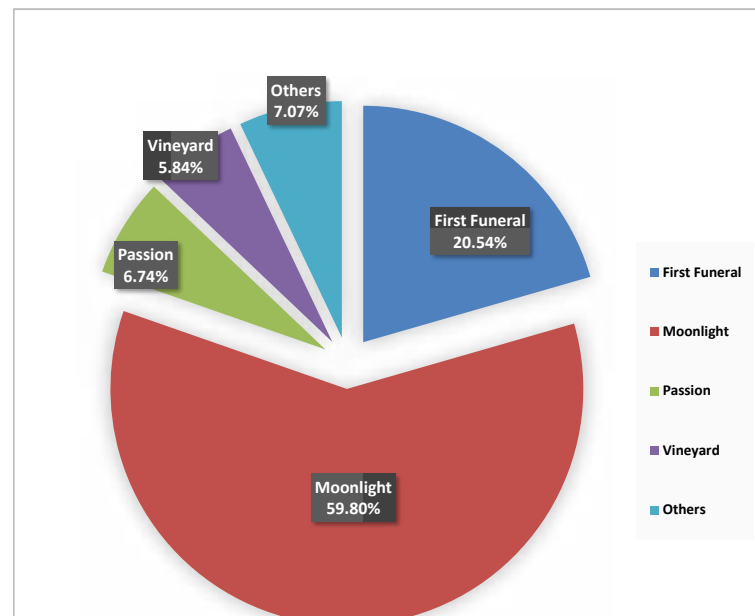
Two (2) funeral assurers wrote 80.35% of GPW for the six months ended 30 June 2020. The remaining five (5) funeral assurers wrote 19.65% of funeral assurance business. The funeral assurance sector wrote 10.17% of the entire funeral business for the period under review when compared to life assurers who wrote 89.83% of the

funeral assurance business.

This trend has persisted suggesting that funeral assurers are at risk of becoming irrelevant and obsolete in the absence of innovative products or other survival strategies that can withstand pressure from life assurance entities. The Commission continues to encourage funeral assurers to be innovative by developing products that incorporate those that are financially excluded.

Distribution of the market share in-terms of GPW for the seven (7) dedicated funeral assurers is shown in Figure 3 below.

Figure 3: Market Share in-terms of GPW



A woman with short dark hair, wearing a white t-shirt, is gesturing with her right hand while speaking to a man in a blue shirt. The man is partially visible on the left, looking towards the woman. The background is blurred, showing other people in a meeting or office setting. The entire image has a dark blue overlay.

SECTION D

6. Complaints Handling

6.1. Funeral Assurance Sector Complaints

During the period under review, the Commission did not receive any complaints related to the funeral assurance business. The Commission applauds the sector for the continued discharge of policyholder obligations and the payment of Covid-19 claims without regulatory intervention.

6.2. In Conclusion

The funeral assurance sector continues to be negatively affected by adverse economic challenges that have contributed to the decrease in the persistency ratio, and Gross Premium Written. The importance of innovation cannot be over-emphasized, in view of increased competition vis-à-vis the inflationary macroeconomic environment and declining real incomes. The Commission is also concerned with funeral assurers' lack of compliance with key regulatory areas such as minimum capital requirements, prescribed asset investments, high premium debtors to mention just a few.

The background image is a dark, blue-tinted photograph showing a close-up of hands working on a document. The document contains various charts, including a pie chart and a bar chart. A hand is holding a pen, ready to write. In the background, a laptop is visible, suggesting a professional or academic setting.

SECTION E

7. Appendix

APPENDIX A1. KEY PERFORMANCE INDICATORS FOR FUNERAL ASSURANCE COMPANIES AS AT 30 JUNE 2020									
	Orchid	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total/ Average
Key Performance Indicator									
Capital Adequacy									
Capital Position i.e. Net Assets (\$ 000)	5,984	51,158	75,979	27,994	3,687	38,688		58,166	365,881
Capital Coverage Ratio (CCR)	15.96%	136.42%	202.61%	74.65%	9.83%	103.17%		155.11%	121.96%
Equity/Total Assets Ratio	46.06%	89.06%	94.27%	8.58%	67.23%	63.02%		94.84%	51.42%
Solvency Margin	87.39%	884.55%	2104.87%	13.63%	249.79%	N/A		3051.63%	162.13%
Asset Quality									
Total Assets (\$ 000)	12,991	57,439	80,599	326,383	5,484	61,390		61,332	711,585
Investments to Total Assets	23.21%	7.53%	7.05%	0.00%	18.77%	0.00%		0.41%	2.01%
Non-Interest Generating Assets/Total Assets	76.08%	91.77%	92.64%	99.76%	71.42%	51.88%		98.36%	93.43%
Fixed Assets/Total Assets	76.03%	85.07%	91.23%	92.36%	0.00%	50.41%		93.44%	87.88%
Prescribed Assets Ratio	0.00%	0.02%	0.01%	0.00%	0.69%	0.02%		0.11%	0.02%
Premium Debtors/Gross Premium	1.00%	33.19%	4.00%	70.03%	8.80%	27.82%		68.24%	54.01%
Premium Debtors/Total Assets	0.01%	6.70%	0.12%	7.24%	6.10%	0.65%		3.67%	4.29%
Reinsurance									
Risk Retention Ratio	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%		100.00%	100.00%
Actuarial									
UPR	67	0	0	0	0	0		0	67
IBNR	0	0	0	0	0	0		18.775	18.775
Gross Outstanding Claims	0	0	0	280	0	0		0	280
Future Policyholder Benefits	6781.121	5783.444	3609.668	205167.9	1476.148	0		1887.257	225311.038
Total Assets/Total Reserves	189.72%	993.16%	2232.85%	158.86%	371.54%	N/A		3217.80%	315.31%
Earnings									
Profit After Tax (000)	19.22	344.87	28.14	235.74	2,472.49	277.40		2,459.69	5,810.99
Return on Equity	0.32%	0.67%	0.04%	0.84%	67.05%	0.72%		4.23%	1.59%
Return on Assets	0.15%	0.60%	0.03%	0.07%	45.08%	0.45%		4.01%	0.82%
Loss(Claims) Ratio	15.20%	35.92%	10.93%	28.06%	33.77%	17.08%		40.28%	29.72%
Net Commission Ratio	0.00%	24.81%	5.79%	2.53%	0.22%	0.00%		7.05%	7.29%
Net Expense Ratio	208.31%	29.35%	109.65%	71.69%	25.28%	55.95%		54.31%	60.49%
Combined Ratio	223.51%	89.99%	126.37%	102.28%	59.28%	71.47%		101.64%	97.40%
Liquidity									
Current ratio	5.15%	11.71%	76.89%	372.66%	7.26%	21.98%		33.42%	215%
Acid Test ratio									
Liquid assets as a percentage of total assets	23.80%	0.71%	0.22%	0.24%	8.55%	0.01%		1.23%	0.81%
Market Shares									
Market Share Based on GPW	0.17%	20.49%	4.36%	59.65%	6.72%	2.52%		5.83%	100%
Market Share Based on NPW	0.17%	20.49%	4.36%	59.65%	6.72%	2.52%		5.83%	100%
Market Share Based on Total Assets	1.83%	8.07%	11.33%	45.87%	0.77%	8.63%		8.62%	100%

Did Not Submit

APPENDIX A2. STATEMENT OF COMPREHENSIVE INCOME FOR FUNERAL ASSURERS FOR THE SIX MONTHS ENDED 30 JUNE 2020 (000)									
	Orchid	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total
Gross Written Premiums	94.32	11,589.89	2,467.11	33,743.39	3,803.67	1,427.33	Did Not Submit	3,297.13	56,573.38
Reinsurance Premiums									-
Net Written Premiums	94.32	11,589.89	2,467.11	33,743.39	3,803.67	1,427.33		3,297.13	56,573.38
Increase/(Decrease) in UPR		15.86				129.76			145.61
Net Earned Premiums	94.32	11,574.04	2,467.11	33,743.39	3,803.67	1,297.57		3,297.13	56,427.77
Provision for Future Claims					1,181.31				1,181.31
Outstanding claims				280.36					280.36
Paid Claims	14.34	4,157.44	269.70	9,188.39	103.20	221.58		1,328.06	15,305.94
Net Claims	14.34	4,157.44	269.70	9,468.75	1,284.51	221.58		1,328.06	16,767.61
Net Commissions and Fees		2,871.27	142.84	852.94	8.41			232.48	4,113.33
Technical Result	79.98	4,545.33	2,054.57	23,421.70	2,510.76	1,075.99		1,736.59	35,546.83
Operating/Administration Expenses	38.37	3,401.13		21,600.95		798.60		95.24	26,021.55
Underwriting Profit/(Loss)	41.61	1,144.20	2,054.57	1,820.75	2,510.76	277.40		1,641.36	9,525.29
Management expenses	158.10		2,705.20	2,590.66	961.71			1,695.34	8,200.90
Investment Income			3.12	0.21				1,760	1,762.83
Other expenses	98.27	869.24	3.96					30.37	1,001.84
Other Income	233.98	90.00	680.91	1,102.73	923.45			784.54	3,846.27
Profit Before Interest and Tax	19.22	364.95	29.44	333.02	2,472.49	277.40		2,459.69	5,931.64
Taxation			1.30					0.00	3.29
Interest Payments		20.08		97.28					
Profit After Tax and Interest	19.22	344.87	28.14	235.74	2,472.49	277.40		2,459.69	5,810.99
Transfer to policyholders' funds			117.11						117.11
Retained Income	19.22	344.87	(88.97)	235.74	2,472.49	277.40		2,459.69	5,693.87

APPENDIX A3. STATEMENT OF FINANCIAL POSITION FOR FUNERAL ASSURERS AS AT 30 JUNE 2020 (000)										
	Orchid	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total	
ASSETS										
Non-Current Assets										
Property and Equipment	9,878	48,862	73,530	301,445		30,948	Did Not Submit	57,310	625,337	
Investment Property		4,279	5,670	10	640			120	10,718	
Investments in Securities	16	46			390			67	518	
Intercompany Investments			11					63	74	
Other Non-Current Assets			74		31	29,521			29,626	
Total Non-Current Assets	9,893	53,187	79,285	301,454	1,061	60,469		57,560	666,273	
Technical Assets										
Reinsurers' Share of O/S Claims									-	
Deferred Acquisition Cost (DAC)									-	
Total Technical Assets	-	-	-	-	-	-		-	-	
Current Assets										
Cash & cash equivalents	91.99	405	177	774	469	9		757	2,760	
Short Term Investments	2,999.73								3,002	
Prescribed Assets					38	13			51	
Inventory and Other Assets	5.60		1,038	526	3,583	502		765	8,942	
Accounts Receivables	0.94	3,847	99	23,629	335	397		2,250	30,558	
Total Liquid Assets	3,092	405	177	774	469	9		757	5,762	
Total Assets	12,991	57,439	80,599	326,383	5,484	61,390		61,332	711,585	
Liabilities										
Deferred Tax Liabilities									-	
Future policyholders' benefits	6,781	5,783	3,610	205,168	1,476		1,887	225,311		
Short term loans		113		518		52		683		
Long term Loans				41		22,500		22,541		
Current Tax provisions								-		
Gross Outstanding Claims				280				280		
IBNR							19	19		
UPR	67							67		
Creditors				19,359			484	20,050		
Amount due to related companies	143							143		
Other Liabilities	17	385	1,010	73,023	321	151	776	76,611		
Total Technical Liabilities/Reserves	6,848	5,783	3,610	205,448	1,476	-	1,906	225,676		
Current Liabilities	160	498	1,010	92,901	321	202	1,261	97,487		
Total Liabilities	7,007	6,281	4,620	298,390	1,797	22,702	3,167	345,705		
Shareholders' Equity										
Share Capital	14	411		1,500	1,049	930	211	4,467		
Share Premium	1,334	1,610				21,833	13,337	38,114		
Revaluation & Other Reserves	5,571	44,623	76,068	218,062	430	15,182	27,844	490,100		
Retained Profit	(934)	4,513	(89)	(191,569)	2,208	743	16,773	(166,801)		
Shareholders' Equity	5,984	51,158	75,979	27,994	3,687	38,688	58,165	365,880		
TOTAL EQUITY & LIABILITIES	12,991	57,439	80,599	326,383	5,484	61,390	61,332	711,585		

APPENDIX A4 GROSS WRITTEN PREMIUMS BREAKDOWN AS AT 30 JUNE 2020

Name of Company	Individual Life (000)						Corporate Business (000)						Total Gross Premiums (000)				
	New Business			Recurring Premiums			New Business			Recurring Premiums						June-20 Inflation Adjusted	Change - Inflation Adjusted (%)
	Jun-19	Jun-20	Change (%)	Jun-19	Jun-20	Change (%)	Jun-19	Jun-20	Change (%)	Jun-19	Jun-20	Change (%)	Jun-19	Jun-20	Change (%)		
First Funeral	4	0	-94	2,826	4,290	52	-	-	-	-	7,299	-	2,830.27	11,589.89	309	1384	-51
Foundation	4	364	9401	536	2,104	292	-	-	-	-	-	-	539.88	2,467.11	356	294	-45
Moonlight	117	584	399	7,218	33,159	359	-	-	-	-	-	-	7,334.86	33,743.39	360	4030	-45
Orchid	-	-	0	5	5	0	-	-	-	19	89	368	23.94	94.32	293	11	-52
Passion	3	-	-100	125	994	697	1	-	-100	545	2,809	415	673.76	3,803.67	464	454	-32
Ruvimbo	80	428	434	187	999	434	-	-	-	-	-	-	267.42	1,427.33	433	170	-36
***Sunset	Did Not Submit																
Vineyard	29	8	-71	69	228	230	97	99	2	528	2,961	461	723.34	3,297.13	355	393	-45
TOTAL	242	1,394	475	11,070	41,919	279	98	99	1	1,091	13,159	1105	12,503.63	56,573.38	352	6,756	-45

APPENDIX A5 COST AND EARNINGS ANALYSIS FOR THE FUNERAL ASSURANCE INDUSTRY AS AT 30 JUNE 2020																		
Co. Name	NPW (000)			Claims (000)			Commissions (000)			Management Expenses (000)			Total Costs (000)			Combined Ratio		
	Jun-19	Jun-20	Change (%)	Jun-19	Jun-20	Change (%)	Jun-19	Jun-20	Change (%)	Jun-19	Jun-20	Change (%)	Jun-19	Jun-20	Change (%)	Jun-19 (%)	Jun-20	Change (%)
First Funeral	2,830	11,590	309	876	4,157	374	634	2,871	352	1,215	3,401	180	2,727	10,429	282	96	90	-6
Foundation	540	2,467	357	120	269	124	33	142	328	461	2,705	486	615	3,117	406	114	126	12
Moonlight	7,335	33,743	360	2,632	9,468	260	236	852	261	3,994	24,191	506	6,863	34,513	403	94	102	9
Orchid	24	94.32	294	13	14	7	-	-	0	20	196	852	34	210	520	142	224	81
Passion	674	3,803	465	168	1,284	661	57	8	-85	378	961	154	604	2,254	273	90	59	-30
Ruvimbo	267	1,427	434	33	221	566	-	-	0	219	798	264	252	1,020	304	94	71	-23
***Sunset	Did Not Submit																	
Vineyard	723	3,297	356	223	1,328	494	42	232	454	366	1,790	389	632	3,351	430	87	102	14
Total	12,503	56,573	352	4,073	16,767	312	1,006	4,113	309	6,738	34,222	408	11,81	55,103	366	95	97	3

